

Chapter 3 — The Making of a Global World

The one-line point: Globalisation is not fifty years old. This chapter tracks **how the world got wired together** — by **trade, by migrating labour, and by moving capital** — and insists on the honest double conclusion: the same process that **fed Europe's poor and doubled world trade forty-fold** also **killed 90% of Africa's cattle, emptied Ireland, and turned Indian weavers into raw-cotton growers**. "A world of faster economic growth as well as great misery."

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Syllabus Classification

Field	Value
Subject	History → World History + Economic history of colonial India
Sub-discipline	Economic history · migration · globalisation · ecological history
Period	3000 BCE – the present (core: 1815–1970s)
Prelims (GS Paper I & III)	★★★★ Silk routes, Corn Laws, rinderpest, indentured labour, Bretton Woods, IMF/World Bank, G-77, NIEO — many of these are GS3 Economy items that happen to live in a History book
Mains (GS Paper I)	★★★★★ " colonization... their forms and EFFECT ON THE SOCIETY "; the world wars; the redrawing of economic relations
Also feeds	★★★★★ GS3 Economy (the IMF and World Bank are here in their founding form — fixed vs floating exchange rates, tariffs, MNCs, debt crises, globalisation), ★★★★★ GS2 IR (Bretton Woods, the US veto, G-77 and the NIEO demand — the intellectual root of the Global South's position), GS1 Society ★★★★★ (migration, diaspora, cultural fusion), Essay ★★★★★ (globalisation's winners and losers)
Weightage	★★★★★ — the most GS3-useful chapter in the entire NCERT History series
Overlaps with	★★★★★ Class 9 supplement (<i>Peasants and Farmers</i> — the Corn Laws, the enclosures, the opium triangle are the same story told from the other end), Ch.4 of this book (industrialisation), Class 9 Ch.3 (the Great Depression and Nazism)

Learning Outcomes

By the end of this chapter you should be able to:

- ☐ **Give pre-modern examples of global exchange** from Asia *and* the Americas. ★★★★★
- ☐ **Explain the silk routes** — what moved, in which direction, and what travelled with the goods. ★★★★★
- ☐ **Explain how food travelled**, and the Irish potato famine. ★★★★★
- ☐ ★★★★★ **Explain how DISEASE conquered America**, and why guns were the lesser weapon.
- ☐ ★★★★★ **Name the THREE flows** of international economic exchange and give an Indian example of each.
- ☐ **Explain the Corn Laws** — what they were, who scrapped them, and the chain of consequences. ★★★★★
- ☐ **Explain the role of technology**, using refrigerated ships. ★★★★★
- ☐ **Explain rinderpest** and how a cattle disease became a tool of conquest. ★★★★★

- ☐ **Describe indentured labour** — where from, where to, why, and why it was called "*a new system of slavery*". ★★★★★
- ☐ **Explain India's role in the multilateral settlement system** and the "*home charges*". ★★★★★
- ☐ **Explain what the First World War did to the world economy.** ★★★★★
- ☐ **Explain Fordism** and the consumer boom of the 1920s. ★★★★★
- ☐ ★★★★★ **Give the causes of the Great Depression** and its specific effects on India.
- ☐ **State the two lessons** of the inter-war years and what Bretton Woods built from them. ★★★★★
- ☐ **Explain the G-77 and the NIEO demand.** ★★★★★
- ☐ **Explain the end of Bretton Woods** and the shift to floating rates and MNC relocation. ★★★★★

1 The Pre-modern World

★★★★★ **The framing to quote:** *"When we talk of 'globalisation' we often refer to an economic system that has emerged since the last 50 years or so. But... the making of the global world has A LONG HISTORY — of trade, of migration, of people in search of work, the movement of capital, and much else."**

What travelled: *"From ancient times, travellers, traders, priests and pilgrims travelled vast distances for knowledge, opportunity and spiritual fulfilment, or to escape persecution. They carried ★ goods, money, values, skills, ideas, inventions, and EVEN GERMS AND DISEASES."**

Fact	Detail
★★★★ As early as 3000 BCE	<i>"an active coastal trade linked the INDUS VALLEY civilisations with present-day WEST ASIA"</i>
★★★★ Cowries	<i>"For more than a millennia, cowries (the Hindi cowdi or seashells, used as a form of currency) from the MALDIVES found their way to CHINA and EAST AFRICA"</i>
★ Disease	<i>"The long-distance spread of disease-carrying germs may be traced as far back as the seventh century. By the thirteenth century it had become an unmistakable link."</i> *

🗺️ 1.1 The silk routes ★★

"The name 'silk routes' points to the importance of WEST-BOUND CHINESE SILK CARGOES along this route."

"Historians have identified SEVERAL silk routes, OVER LAND AND BY SEA, knitting together vast regions of ASIA, and linking ASIA with EUROPE and NORTHERN AFRICA."

"known to have existed SINCE BEFORE THE CHRISTIAN ERA and thrived ALMOST TILL THE FIFTEENTH CENTURY."

WHAT MOVED WHICH WAY

EASTWARD -> ... precious metals: GOLD AND SILVER
"flowed from EUROPE TO ASIA"

WESTWARD -> CHINESE SILK, CHINESE POTTERY,
TEXTILES AND SPICES from INDIA and
SOUTHEAST ASIA

AND NOT ONLY GOODS -- "TRADE AND CULTURAL EXCHANGE ALWAYS WENT HAND IN HAND":

- "Early CHRISTIAN MISSIONARIES almost certainly travelled this route to Asia"
- "as did early MUSLIM PREACHERS a few centuries later"
- "Much before all this, BUDDHISM emerged from EASTERN INDIA and spread in several directions THROUGH INTERSECTING POINTS ON THE SILK ROUTES."

🌀 ★★ **Note the direction of the bullion, because it recurs three times in this book.** Gold and silver flowed **from Europe to Asia** — Europe had things it wanted to buy and little Asia wanted in return. **That structural deficit is the same one that produced the opium trade** (Class 9 supplement §3.1) and it is the oldest fact in the economic relationship between the two continents. **Asia was the creditor of the pre-modern world.**

🍅 1.2 Food travels ★★

Example	Detail
Spaghetti and noodles	"It is believed that noodles travelled WEST FROM CHINA to become SPAGHETTI . Or, perhaps Arab traders took pasta to fifth-century SICILY ... Similar foods were also known in India and Japan , so the truth about their origins may never be known "
★★ The American crops	"Many of our common foods such as POTATOES, SOYA, GROUNDNUTS, MAIZE, TOMATOES, CHILLIES, SWEET POTATOES ... were not known to our ancestors until about FIVE CENTURIES AGO . These foods were only introduced in Europe and Asia after Christopher Columbus accidentally discovered the Americas " — "many of our common foods came from America's original inhabitants — the American Indians "
★★★ The potato and Ireland	"Sometimes the new crops could make the difference between life and death . EUROPE'S POOR BEGAN TO EAT BETTER AND LIVE LONGER with the introduction of the humble potato . 🚩 Ireland's poorest peasants became SO DEPENDENT on potatoes that when disease destroyed the potato crop in the MID-1840s, HUNDREDS OF THOUSANDS DIED OF STARVATION " — the Great Irish Potato Famine (1845–49) : ★ around 1,000,000 died of starvation and double that number emigrated in search of work

★★★★ **The potato is the chapter's first lesson in the double edge, and it is a very good one.** The same crop that let Europe's poor "*eat better and live longer*" also made a whole population **dependent on a single crop** — and when that crop failed, a million died. ★ **Interdependence raises the ceiling and lowers the floor**: globalisation makes you better off and more fragile at the same time. **That sentence is the thesis of the entire chapter and it will serve you in any essay on globalisation.** 🔗 **And the emigration figure connects forward**: two million Irish leaving is part of the **50 million** who crossed to America and Australia in §2.1.

🧠 1.3 Conquest, disease and trade — ★★★★★

"The pre-modern world **SHRANK GREATLY IN THE SIXTEENTH CENTURY** after European sailors found **A SEA ROUTE TO ASIA** and also successfully **CROSSED THE WESTERN OCEAN TO AMERICA.**"

BEFORE THAT: "the **INDIAN OCEAN** had known a **BUSTLING TRADE...**
THE **INDIAN SUBCONTINENT** WAS CENTRAL TO THESE FLOWS AND A
CRUCIAL POINT IN THEIR NETWORKS.
The entry of the Europeans helped **EXPAND OR REDIRECT** some of
these flows **TOWARDS EUROPE.**"

AMERICA: "cut off from regular contact with the rest of the
world **FOR MILLIONS OF YEARS.** But from the sixteenth century,
its **VAST LANDS** and **ABUNDANT CROPS AND MINERALS** began to
TRANSFORM TRADE AND LIVES EVERYWHERE."

"**PRECIOUS METALS**, particularly **SILVER**, from mines in
present-day **PERU** and **MEXICO** also **ENHANCED EUROPE'S WEALTH**
AND **FINANCED ITS TRADE WITH ASIA.**"

Legends of **EL DORADO**, "the fabled city of gold."

★★★★★ The most important causal claim in section 1:

*"The **Portuguese and Spanish conquest and colonisation of America** was decisively under way by the mid-sixteenth century. **EUROPEAN CONQUEST WAS NOT JUST A RESULT OF SUPERIOR FIREPOWER.** In fact, **THE MOST POWERFUL WEAPON OF THE SPANISH CONQUERORS WAS NOT A CONVENTIONAL MILITARY WEAPON AT ALL. IT WAS THE GERMS** such as those of **SMALLPOX** that they carried on their person. Because of their **long isolation**, America's **original inhabitants** had **NO IMMUNITY** against these diseases... **Once introduced, it spread deep into the continent, AHEAD EVEN OF ANY EUROPEANS REACHING THERE.** It killed and decimated whole communities, **PAVING THE WAY FOR CONQUEST.**"*

★★★★★ *"**GUNS COULD BE BOUGHT OR CAPTURED AND TURNED AGAINST THE INVADERS. BUT NOT DISEASES SUCH AS SMALLPOX TO WHICH THE CONQUERORS WERE MOSTLY IMMUNE.**"*

Box 1 — "Biological" warfare? John Winthrop, first governor of the **Massachusetts Bay colony**, wrote in **May 1634** that smallpox signalled **God's blessing** for the colonists: ⚠️ "**...the natives... were neere all dead of small Poxe, so as THE LORD HATHE CLEARED OUR TITLE TO WHAT WE POSSESS.**" 🌀 Read that quotation carefully — it is doing theology, not epidemiology. An epidemic that killed the inhabitants is reinterpreted as **divine authorisation of the settlers' land title.**
★ **Dispossession is being described as a gift.** (Compare the "waste land" and terra nullius arguments in Class 9 Ch.4–5: the coloniser's first move is always to find a reason why the land was never really theirs.)

Why Europe became the centre — ★★★★★ the push and the pull:

- **The push:** *"**Until the nineteenth century, poverty and hunger were common in Europe.** Cities were crowded and deadly diseases were widespread. Religious conflicts were common, and religious **DISSENTERS** were persecuted. Thousands therefore fled Europe for America."* (*Dissenter — one who refuses to accept established beliefs and practices.*)
- **What was built there:** "*by the eighteenth century, **plantations worked by SLAVES CAPTURED IN AFRICA** were growing **cotton and sugar for European markets.***"
- ★★★★★ **The shift:** *"**Until well into the eighteenth century, CHINA AND INDIA WERE AMONG THE WORLD'S RICHEST COUNTRIES.** They were also **pre-eminent in Asian trade.** However, **from the fifteenth century, China is said to have RESTRICTED OVERSEAS CONTACTS AND RETREATED INTO ISOLATION.** China's reduced role and the rising importance of the Americas

GRADUALLY MOVED THE CENTRE OF WORLD TRADE WESTWARDS. EUROPE NOW EMERGED AS THE CENTRE OF WORLD TRADE."*

🎯 ★★★★★ **That last paragraph is worth memorising for any answer on the "rise of the West."** Europe's centrality was **not** a permanent condition or a civilisational destiny — **as late as the eighteenth century India and China were the world's richest countries.** The shift came from **America's resources plus China's withdrawal. Economic dominance moved; it was not innate.** This is the single most useful corrective to a Eurocentric account, and NCERT states it plainly.

2 The Nineteenth Century, 1815–1914

🌐 **THE THREE FLOWS** — ★★★★★ **NCERT asks you to name these and give an Indian example of each**

- | |
|--|
| 1. THE FLOW OF TRADE
"which in the nineteenth century referred largely to
TRADE IN GOODS (e.g., cloth or wheat)"
INDIAN EXAMPLE -> raw cotton and opium exports;
British cloth flooding India |
| 2. THE FLOW OF LABOUR
"the MIGRATION OF PEOPLE IN SEARCH OF EMPLOYMENT"
INDIAN EXAMPLE -> INDENTURED LABOUR to Trinidad,
Guyana, Surinam, Mauritius, Fiji |
| 3. THE MOVEMENT OF CAPITAL
"for SHORT-TERM OR LONG-TERM INVESTMENTS over long
distances"
INDIAN EXAMPLE -> the SHIKARIPURI SHROFFS and
NATTUKOTTAI CHETTIARS financing
export agriculture in Southeast Asia |

"All three flows were CLOSELY INTERWOVEN... The interconnections could sometimes be broken -- for example, LABOUR MIGRATION WAS OFTEN MORE RESTRICTED THAN GOODS OR CAPITAL FLOWS."

🎯 ★★★★★ **That last line is the most quietly important sentence in the chapter, and it is still true today. Goods and money were allowed to move more freely than people.** A system that liberalises capital and commodities while restricting labour **distributes its gains unevenly by design** — capital goes where returns are highest, but workers cannot follow. **Say this in any answer on globalisation and you are making an argument rather than listing facts.**

2.1 A world economy takes shape — the Corn Laws ★★☆☆

THE PROBLEM

"Traditionally, countries liked to be SELF-SUFFICIENT in food. But in nineteenth-century Britain, SELF-SUFFICIENCY IN FOOD MEANT LOWER LIVING STANDARDS AND SOCIAL CONFLICT." Why?

"POPULATION GROWTH from the late eighteenth century had INCREASED THE DEMAND for food grains. As URBAN CENTRES EXPANDED and INDUSTRY GREW, demand went up, PUSHING UP FOOD GRAIN PRICES."

"Under pressure from LANDED GROUPS, the government also RESTRICTED THE IMPORT OF CORN. The laws allowing the government to do this were commonly known as THE 'CORN LAWS'."

"Unhappy with HIGH FOOD PRICES, INDUSTRIALISTS AND URBAN DWELLERS FORCED THE ABOLITION OF THE CORN LAWS."

THE CONSEQUENCES -- a chain worth learning whole:

"After the Corn Laws were scrapped, FOOD COULD BE IMPORTED MORE CHEAPLY THAN IT COULD BE PRODUCED within the country."

"BRITISH AGRICULTURE WAS UNABLE TO COMPETE with imports. VAST AREAS OF LAND WERE NOW LEFT UNCULTIVATED, and THOUSANDS OF MEN AND WOMEN WERE THROWN OUT OF WORK. THEY FLOCKED TO THE CITIES OR MIGRATED OVERSEAS."

"As FOOD PRICES FELL, CONSUMPTION IN BRITAIN ROSE. From the mid-nineteenth century, FASTER INDUSTRIAL GROWTH also led to HIGHER INCOMES, and therefore MORE FOOD IMPORTS."

"Around the world -- in EASTERN EUROPE, RUSSIA, AMERICA and AUSTRALIA -- LANDS WERE CLEARED and FOOD PRODUCTION EXPANDED TO MEET THE BRITISH DEMAND."

And what expanding food production actually required — ★★☆☆ this is the step most students skip:

"It was NOT ENOUGH merely to clear lands for agriculture. RAILWAYS were needed to link the agricultural regions to the ports. NEW HARBOURS had to be built and old ones expanded. PEOPLE had to settle on the lands to bring them under cultivation. This meant building homes and settlements. All these activities in turn required CAPITAL AND LABOUR. Capital flowed from financial centres such as LONDON. The demand for labour in places where labour was short — as in America and Australia — led to more migration."

Migration figure	★★★
Emigrated from Europe to America and Australia in the 19th century	nearly 50 MILLION
Left their homes worldwide	"all over the world some 150 MILLION are estimated to have left their homes, crossed oceans and vast distances over land in search of a better future "

★★★★ NCERT's summary of what a global food economy means, and it is beautifully constructed — quote it: *"**Thus by 1890, a GLOBAL AGRICULTURAL ECONOMY had taken shape... FOOD NO LONGER CAME FROM A NEARBY VILLAGE OR TOWN, BUT FROM THOUSANDS OF MILES AWAY. It was NOT GROWN BY A PEASANT TILLING HIS OWN LAND, but by AN AGRICULTURAL WORKER, PERHAPS RECENTLY ARRIVED, who was now working on A LARGE FARM THAT ONLY A GENERATION AGO HAD MOST LIKELY BEEN A FOREST. It was TRANSPORTED BY RAILWAY, BUILT FOR THAT VERY PURPOSE, and by SHIPS which were increasingly MANNED BY LOW-PAID WORKERS FROM SOUTHERN EUROPE, ASIA, AFRICA AND THE CARIBBEAN.**"*

🌀 **Four transformations in one sentence — distance, ownership, ecology, and the labour that carries it.** If you can reproduce this you can answer almost any question on nineteenth-century globalisation.

★★ **The Indian instance — the Canal Colonies:** *"**Some of this dramatic change, though on a smaller scale, occurred closer home in WEST PUNJAB. Here the British Indian government built a network of IRRIGATION CANALS to transform SEMI-DESERT WASTES into FERTILE AGRICULTURAL LANDS that could grow WHEAT AND COTTON FOR EXPORT. The ★ CANAL COLONIES, as the areas irrigated by the new canals were called, were settled by peasants from other parts of Punjab.**"*

★★★★ The scale of trade growth	
World trade, 1820 → 1914	"estimated to have multiplied 25 TO 40 TIMES "
Composition	"Nearly 60 PER CENT of this trade comprised ' PRIMARY PRODUCTS ' — agricultural products such as wheat and cotton , and minerals such as coal "

🚢 2.2 The role of technology — ★★★★★ the refrigerated ship

★★★★ **The framing point first:** "*The **railways, steamships, the telegraph** were important inventions without which we cannot imagine the transformed nineteenth-century world. **BUT TECHNOLOGICAL ADVANCES WERE OFTEN THE RESULT OF LARGER SOCIAL, POLITICAL AND ECONOMIC FACTORS.** For example, **COLONISATION STIMULATED new investments and improvements in transport:** faster railways, lighter wagons and larger ships helped move food more cheaply and quickly."*

THE MEAT TRADE -- the worked example

TILL THE 1870s

"animals were SHIPPED LIVE from America to Europe and then SLAUGHTERED when they arrived."

PROBLEMS: "live animals TOOK UP A LOT OF SHIP SPACE. Many also DIED IN VOYAGE, FELL ILL, LOST WEIGHT, or BECAME UNFIT TO EAT."

"MEAT WAS HENCE AN EXPENSIVE LUXURY BEYOND THE REACH OF THE EUROPEAN POOR. High prices in turn KEPT DEMAND AND PRODUCTION DOWN..."

THE INVENTION: REFRIGERATED SHIPS, "which enabled the transport of PERISHABLE FOODS over long distances."

"Now animals were SLAUGHTERED AT THE STARTING POINT -- in AMERICA, AUSTRALIA or NEW ZEALAND -- and then transported to Europe as FROZEN MEAT. This REDUCED SHIPPING COSTS and LOWERED MEAT PRICES in Europe."

"The poor in Europe could now consume A MORE VARIED DIET. To the earlier MONOTONY OF BREAD AND POTATOES many, THOUGH NOT ALL, could now add MEAT (and BUTTER and EGGS)."

THE POLITICAL PAYOFF:
"BETTER LIVING CONDITIONS PROMOTED SOCIAL PEACE WITHIN THE COUNTRY AND SUPPORT FOR IMPERIALISM ABROAD."

🎯 ★★★★★ That final line is the one to carry away, and it is easy to read past. Cheaper meat in London was not merely a nutritional fact — it **bought domestic political consent for empire**. ★ The **living standards of the metropolitan working class were partly financed by the colonial and settler periphery**, which is precisely why anti-imperialism found so little purchase among British workers. **Empire had a domestic constituency, and it was fed by refrigerated ships.**

🌐 2.3 Late-nineteenth-century colonialism

★★★★★ *"Trade flourished and markets expanded... **But this was NOT ONLY a period of expanding trade and increased prosperity. It is important to realise that THERE WAS A DARKER SIDE to this process. In many parts of the world, the expansion of trade and a closer relationship with the world economy ALSO MEANT A LOSS OF FREEDOMS AND LIVELIHOODS.**"*

Fact	Detail
★★★★★ The ruler-drawn borders	"You will see some countries' borders run straight, as if they were drawn using a ruler . Well, in fact this was almost how rival European powers in Africa drew up the borders demarcating their respective territories"
★★★★★ 1885	"the big European powers met in BERLIN to complete the CARVING UP OF AFRICA between them "
Who gained	" Britain and France made vast additions... Belgium and Germany became NEW colonial powers. The US also became a colonial power in the late 1890s by taking over some colonies earlier held by Spain "

Box 2 — Sir Henry Morton Stanley, journalist and explorer sent by the *New York Herald* to find **Livingston**: *"Like other European and American explorers of the time, Stanley went **with arms**, mobilised **local hunters, warriors and labourers**, fought with local tribes, investigated African terrains, and mapped different regions. These explorations **HELPED THE CONQUEST of Africa**. ★★
Geographical explorations were **NOT DRIVEN BY AN INNOCENT SEARCH FOR SCIENTIFIC INFORMATION. THEY WERE DIRECTLY LINKED TO IMPERIAL PROJECTS.**"* 🔗 Exactly the argument of **Class 8 Ch.1** — "a country had to be properly known before it could be effectively administered." **Surveying, mapping and exploring are instruments of rule, not neutral curiosity.**

🇬🇧 2.4 Rinderpest — ★★★★★ the single best case study in the chapter

AFRICA BEFORE

"Historically, Africa had ABUNDANT LAND and a RELATIVELY SMALL POPULATION. For centuries, LAND AND LIVESTOCK SUSTAINED AFRICAN LIVELIHOODS and PEOPLE RARELY WORKED FOR A WAGE."

"In late-nineteenth-century Africa there were FEW CONSUMER GOODS THAT WAGES COULD BUY. If you had been an African possessing land and livestock -- and there was plenty of both -- YOU TOO WOULD HAVE SEEN LITTLE REASON TO WORK FOR A WAGE."

THE EUROPEAN PROBLEM

Europeans came "hoping to establish PLANTATIONS AND MINES to produce crops and minerals for export... BUT THERE WAS AN UNEXPECTED PROBLEM -- A SHORTAGE OF LABOUR WILLING TO WORK FOR WAGES."

THE METHODS USED TO MANUFACTURE A LABOUR FORCE

1. "HEAVY TAXES were imposed which COULD BE PAID ONLY BY WORKING FOR WAGES on plantations and mines."
2. "INHERITANCE LAWS WERE CHANGED so that peasants were DISPLACED FROM LAND: ONLY ONE MEMBER OF A FAMILY WAS ALLOWED TO INHERIT LAND, as a result of which THE OTHERS WERE PUSHED INTO THE LABOUR MARKET."
3. "MINEWORKERS were CONFINED IN COMPOUNDS and NOT ALLOWED TO MOVE ABOUT FREELY."

"Then came RINDERPEST."

THE DISEASE

"arrived in Africa in the LATE 1880s. It was CARRIED BY INFECTED CATTLE IMPORTED FROM BRITISH ASIA TO FEED THE ITALIAN SOLDIERS INVADING ERITREA in East Africa."

"Entering Africa in the EAST, rinderpest moved WEST 'LIKE FOREST FIRE', reaching Africa's ATLANTIC COAST IN 1892. It reached THE CAPE five years later."

"ALONG THE WAY RINDERPEST KILLED 90 PER CENT OF THE CATTLE."

THE POLITICAL USE OF A DISEASE

"The loss of cattle DESTROYED AFRICAN LIVELIHOODS. PLANTERS, MINE OWNERS AND COLONIAL GOVERNMENTS NOW SUCCESSFULLY MONOPOLISED WHAT SCARCE CATTLE RESOURCES REMAINED, TO STRENGTHEN THEIR POWER AND TO FORCE AFRICANS INTO THE LABOUR MARKET."

CONTROL OVER THE SCARCE RESOURCE OF CATTLE ENABLED EUROPEAN COLONISERS TO CONQUER AND SUBDUE AFRICA."

🎯 ★★★★★ Why rinderpest is worth more to you than almost anything else in the chapter. It answers the question *"how do you make people work for wages when they don't need to?"* — and the answer is: **you make them need to**. Taxes payable only in cash, inheritance law that disinherits all but one child, and then an accident of disease that the colonisers **turned into an instrument** by cornering the survivors. ★ A "free" labour market was manufactured by destroying the alternative to wage labour. 🔗 This is the same mechanism as the Class 9 chapters on forests and pastoralists — the Waste Land Rules, the grazing tax, the Criminal Tribes Act. Colonial economies did not find labour; they produced it by closing every other door. And note the ecological detail: the disease travelled to Africa because Britain shipped Asian cattle to feed an Italian army invading Eritrea. Three continents in one causal chain — which is exactly what "a global world" means.

🚢 2.5 Indentured labour migration from India — ★★☆☆

Word: ★★ Indentured labour — "a **BONDED LABOURER** under **CONTRACT** to work for an employer for **A SPECIFIC AMOUNT OF TIME**, TO **PAY OFF HIS PASSAGE** to a new country or home."

★★★ **NCERT's framing sentence, which is the thesis of the whole chapter:** *"The example of indentured labour migration from India illustrates the **TWO-SIDED NATURE** of the nineteenth-century world. It was a world of **FASTER ECONOMIC GROWTH AS WELL AS GREAT MISERY, HIGHER INCOMES FOR SOME AND POVERTY FOR OTHERS, TECHNOLOGICAL ADVANCES IN SOME AREAS AND NEW FORMS OF COERCION IN OTHERS.**"*

Element	Detail
The scale	" <i>hundreds of thousands of INDIAN AND CHINESE labourers went to work on plantations, in mines, and in road and railway construction projects around the world</i> "
★ The contract	" <i>hired under contracts which promised RETURN TRAVEL to India after they had worked FIVE YEARS on their employer's plantation</i> "
★★★ Where they came FROM	" <i>eastern UTTAR PRADESH, BIHAR, CENTRAL INDIA and the DRY DISTRICTS OF TAMIL NADU</i> "
★★★ Why	" <i>In the mid-nineteenth century these regions experienced many changes — ★ COTTAGE INDUSTRIES DECLINED, LAND RENTS ROSE, LANDS WERE CLEARED FOR MINES AND PLANTATIONS. All this affected the lives of the poor: they failed to pay their rents, became DEEPLY INDEBTED and were FORCED TO MIGRATE in search of work</i> "
★★★ Where they went	" <i>The main destinations were the CARIBBEAN ISLANDS (mainly TRINIDAD, GUYANA and SURINAM), MAURITIUS and FIJI. Closer home, TAMIL migrants went to CEYLON and MALAYA. Indentured workers were also recruited for TEA PLANTATIONS IN ASSAM"</i>
★★ The recruiters	" <i>done by AGENTS engaged by employers and paid a small COMMISSION</i> " — who " <i>tempted prospective migrants by providing FALSE INFORMATION about final destinations, modes of travel, the nature of the work, and living and working conditions. Often migrants were NOT EVEN TOLD THAT THEY WERE TO EMBARK ON A LONG SEA VOYAGE. Sometimes agents even FORCIBLY ABDUCTED less willing migrants</i> "
★★★ The verdict	<i>"Nineteenth-century indenture has been described as ★ 'A NEW SYSTEM OF SLAVERY'. On arrival... living and working conditions were HARSH, and there were FEW LEGAL RIGHTS"</i>

Source A — Ram Narain Tewary, who spent ten years on Demerara: *"in spite of my best efforts, I could not properly do the works that were allotted to me... **In a few days I GOT MY HANDS BRUISED ALL OVER** and I could not go to work for a week **FOR WHICH I WAS PROSECUTED AND SENT TO JAIL FOR 14 DAYS....** new emigrants find the tasks allotted to them **extremely heavy and cannot complete them in a day... DEDUCTIONS ARE ALSO MADE FROM WAGES** if the work is considered to have been done **unsatisfactorily.** Many people cannot therefore earn their full wages and are punished in various ways."* 🎯 **Note the mechanism of the trap: a task set too high to complete, a wage docked for not completing it, and a JAIL SENTENCE for failing to work.** Failure to perform labour was a **criminal offence**, not a contractual one — which is exactly what distinguishes indenture from employment and justifies the phrase "*a new system of slavery.*"

★★★★ **How workers survived — and this section deserves more attention than it usually gets:**

"But workers DISCOVERED THEIR OWN WAYS OF SURVIVING. Many escaped into the wilds, though if caught they faced severe punishment. Others developed NEW FORMS OF INDIVIDUAL AND COLLECTIVE SELF-EXPRESSION, BLENDING DIFFERENT CULTURAL FORMS, OLD AND NEW:"

Form	Detail
★★ "Hosay"	"In TRINIDAD the annual MUHARRAM procession was transformed into a riotous carnival called 'HOSAY' (for Imam Hussain) in which ★ workers of ALL RACES AND RELIGIONS joined"
★★ Rastafarianism	"the protest religion of RASTAFARIANISM (made famous by the Jamaican reggae star BOB MARLEY) is also said to reflect social and cultural links with Indian migrants to the Caribbean "
★ "Chutney music"	"popular in Trinidad and Guyana ... another creative contemporary expression of the post-indenture experience "

★★★ *"**These forms of CULTURAL FUSION are part of the making of the global world, where things from different places GET MIXED, LOSE THEIR ORIGINAL CHARACTERISTICS AND BECOME SOMETHING ENTIRELY NEW.**"* 🎯 **This is the chapter's one genuinely hopeful passage, and it is worth using.** People shipped across the world under false pretences, jailed for bruised hands, **made new culture anyway** — a Shia mourning ritual becoming a carnival that Hindus, Muslims, Africans and Indians all joined. ★ **Globalisation's human consequences are not only extractive; they are also creative, and the creativity comes from below.**

The aftermath:

- ★ **"Most indentured workers STAYED ON after their contracts ended, or returned to their new homes after a short spell in India. Consequently, there are large communities of people of Indian descent in these countries"** — NCERT names the Nobel Prize-winning writer **V.S. NAIPAUL** and West Indies cricketers **Shivnarine Chanderpaul** and **Ramnaresh Sarwan**.
- ★★★ *"**From the 1900s India's NATIONALIST LEADERS began opposing the system of indentured labour migration as ABUSIVE AND CRUEL. IT WAS ABOLISHED IN 1921.**"*
- ⚠️ *"**Yet for a number of decades afterwards, descendants of Indian indentured workers, often thought of as 'COOLIES', remained AN UNEASY MINORITY in the Caribbean islands. Some of Naipaul's early novels capture their SENSE OF LOSS AND ALIENATION.**"*

💰 2.6 Indian entrepreneurs abroad ★★★

The question NCERT poses: *"**Growing food and other crops for the world market required CAPITAL. Large plantations could borrow it from banks and markets. But what about the humble peasant?**"*

Group	What they did
★★★ Shikaripuri SHROFFS and Nattukottai CHETTIARS	"amongst the many groups of bankers and traders who FINANCED EXPORT AGRICULTURE in CENTRAL AND SOUTHEAST ASIA , using either their own funds or those borrowed from European banks . They had a SOPHISTICATED SYSTEM TO TRANSFER MONEY over large distances , and even developed INDIGENOUS FORMS OF CORPORATE ORGANISATION "
★★ Hyderabad SINDHI traders	"Indian traders and moneylenders also followed European colonisers into AFRICA . Hyderabad Sindhi traders, however, VENTURED BEYOND EUROPEAN COLONIES . From the 1860s they established FLOURISHING EMPORIA at busy ports worldwide , selling local and imported CURIOS TO TOURISTS whose numbers were beginning to swell, thanks to the development of safe and comfortable passenger vessels "

🎯 ★ ★ ★ ★ Do not let this section pass as trivia — it corrects a common misreading. Indians were **not only** the victims and the raw material of the global economy; they were also **its financiers**. The Chettiars ran a **cross-border credit system with indigenous corporate forms**, and the Sindhis built a **worldwide retail network beyond the reach of any European empire**. ★ **Colonial subjecthood and commercial sophistication coexisted**, and an answer that says so is more accurate than one which paints India purely as the extracted periphery.

📖 2.7 Indian trade, colonialism and the global system — ★ ★ ★ ★ high-yield

THE DESTRUCTION OF THE COTTON EXPORT

"Historically, FINE COTTONS produced in India were EXPORTED TO EUROPE."

|
"With INDUSTRIALISATION, British cotton manufacture began to expand, and INDUSTRIALISTS PRESSURISED THE GOVERNMENT TO RESTRICT COTTON IMPORTS AND PROTECT LOCAL INDUSTRIES. TARIFFS WERE IMPOSED ON CLOTH IMPORTS INTO BRITAIN."

|
"From the early nineteenth century, BRITISH MANUFACTURERS ALSO BEGAN TO SEEK OVERSEAS MARKETS for their cloth. EXCLUDED FROM THE BRITISH MARKET BY TARIFF BARRIERS, INDIAN TEXTILES NOW FACED STIFF COMPETITION IN OTHER INTERNATIONAL MARKETS."

|
THE SHARE OF COTTON TEXTILES IN INDIA'S EXPORTS
around 1800 some 30 PER CENT
by 1815 15 PER CENT
by the 1870s BELOW 3 PER CENT

|
AND WHAT REPLACED IT -- RAW MATERIALS
"While EXPORTS OF MANUFACTURES DECLINED RAPIDLY, EXPORT OF RAW MATERIALS INCREASED EQUALLY FAST."
RAW COTTON, 1812 -> 1871 : 5 PER CENT -> 35 PER CENT
INDIGO "used for dyeing cloth was another important export for many decades"
OPIUM: "shipments to China grew rapidly FROM THE 1820s to become FOR A WHILE INDIA'S SINGLE LARGEST EXPORT."

★ ★ ★ ★ Read the two sets of figures together — they are the whole story of colonial de-industrialisation in four numbers. India went from exporting **30% manufactures** to **under 3%**, while raw cotton rose from **5% to 35%**. ★ **A country that sold finished cloth to the world was converted into one that sold the fibre and bought back the cloth**. And note *how* it was done: **not by British efficiency alone but by tariffs** — Indian cloth was **shut out of Britain by law** while British cloth entered India freely. The **"free trade" era was free in one direction**. 🔗 This is the exact point at which **Class 9's supplement (the opium triangle) and Class 10 Ch.4 (The Age of Industrialisation) join hands**. Read the three together.

▲ The multilateral settlement system — ★★★★★ the highest-value idea in the chapter

"Over the nineteenth century, BRITISH MANUFACTURES FLOODED THE INDIAN MARKET. FOOD GRAIN AND RAW MATERIAL EXPORTS from India increased."

|
"BUT THE VALUE OF BRITISH EXPORTS TO INDIA WAS MUCH HIGHER THAN THE VALUE OF BRITISH IMPORTS FROM INDIA. THUS BRITAIN HAD A 'TRADE SURPLUS' WITH INDIA."

|
"Britain USED THIS SURPLUS TO BALANCE ITS TRADE DEFICITS WITH OTHER COUNTRIES -- that is, with countries from which Britain was IMPORTING MORE than it was selling to."

THE MECHANISM, NAMED:

"This is how a MULTILATERAL SETTLEMENT SYSTEM works -- IT ALLOWS ONE COUNTRY'S DEFICIT WITH ANOTHER COUNTRY TO BE SETTLED BY ITS SURPLUS WITH A THIRD COUNTRY."

|
"BY HELPING BRITAIN BALANCE ITS DEFICITS, INDIA PLAYED A CRUCIAL ROLE IN THE LATE-NINETEENTH-CENTURY WORLD ECONOMY."

|
AND THE 'HOME CHARGES'

"Britain's trade surplus in India ALSO HELPED PAY the so-called 'HOME CHARGES' that included:

- PRIVATE REMITTANCES HOME by British officials and traders
- INTEREST PAYMENTS ON INDIA'S EXTERNAL DEBT
- PENSIONS OF BRITISH OFFICIALS IN INDIA"

🎯 ★★★★★ This is the single most valuable paragraph in the chapter and most candidates never learn it properly. Britain ran deficits with much of the world and paid for them out of its surplus with India. So India was not merely a colony — India was the financial keystone of Britain's entire global position. ★ The "drain of wealth" is not a nationalist slogan here; it is NCERT describing a settlement mechanism. And note what the home charges were: salaries sent home, interest on debt India had not chosen to incur, and pensions for the men who ruled it. India paid for the administrative cost of its own subjection, and financed Britain's trade with everyone else besides.

3 The Inter-war Economy

✂ 3.1 Wartime transformations

Element	Detail
The sides	Allies — Britain, France and Russia (later joined by the US); Central Powers — Germany, Austria-Hungary and Ottoman Turkey
★ The expectation	*"When the war began in August 1914 , many governments thought it would be over by Christmas . IT LASTED MORE THAN FOUR YEARS. "*
★★★ The first modern industrial war	"The fighting involved the world's leading industrial nations which now HARNESSED THE VAST POWERS OF MODERN INDUSTRY TO INFLICT THE GREATEST POSSIBLE DESTRUCTION on their enemies" — machine guns, tanks, aircraft, chemical weapons on a massive scale
★★★ The toll	" 9 MILLION DEAD and 20 MILLION INJURED — unthinkable before the industrial age, without the use of industrial arms "
★★ The demographic effect	" Most of the killed and maimed were MEN OF WORKING AGE . These deaths and injuries REDUCED THE ABLE-BODIED WORKFORCE in Europe . With fewer numbers within the family, household incomes declined after the war "
★ Women	"as men went to battle, WOMEN STEPPED IN to undertake jobs that earlier only men were expected to do"
★★★ The financial reversal	"Britain borrowed large sums of money from US banks as well as the US public . ★★ Thus the war TRANSFORMED THE US FROM BEING AN INTERNATIONAL DEBTOR TO AN INTERNATIONAL CREDITOR . In other words, at the war's end, the US and its citizens OWNED MORE OVERSEAS ASSETS than foreign governments and citizens owned in the US "

📉 3.2 Post-war recovery

BRITAIN'S PROBLEM -- THREE-FOLD

1. "While Britain was preoccupied with war, **INDUSTRIES HAD DEVELOPED IN INDIA AND JAPAN**. After the war Britain found it **DIFFICULT TO RECAPTURE ITS EARLIER POSITION OF DOMINANCE IN THE INDIAN MARKET**, and to **COMPETE WITH JAPAN internationally**."
2. "to finance war expenditures Britain had **BORROWED LIBERALLY FROM THE US...** at the end of the war Britain was **BURDENED WITH HUGE EXTERNAL DEBTS**."
3. **THE END OF THE WAR BOOM**: "When the war boom ended, **PRODUCTION CONTRACTED and UNEMPLOYMENT INCREASED**. At the same time the government **REDUCED BLOATED WAR EXPENDITURES**"
"-> **IN 1921 ONE IN EVERY FIVE BRITISH WORKERS WAS OUT OF WORK**. Indeed, **ANXIETY AND UNCERTAINTY ABOUT WORK BECAME AN ENDURING PART OF THE POST-WAR SCENARIO**."

THE AGRICULTURAL CRISIS -- the wheat example

"**BEFORE the war, EASTERN EUROPE was a major supplier of wheat**. When this supply was **DISRUPTED** during the war, wheat production in **CANADA, AMERICA and AUSTRALIA EXPANDED DRAMATICALLY**. But once the war was over, **PRODUCTION IN EASTERN EUROPE REVIVED and CREATED A GLUT in wheat output**. **GRAIN PRICES FELL, RURAL INCOMES DECLINED, AND FARMERS FELL DEEPER INTO DEBT**."

🔗 ★★★ **The wheat glut is the same story you met in the Class 9 supplement from the American side** — Wilson's "*plant more wheat, wheat will win the war*", acreage up 65% between 1910 and 1919, then surplus, collapsing prices and the Great Agrarian Depression. **Here you get the other half: Eastern Europe's recovery is what created the glut**. Read the two together and you have a complete account of why farmers everywhere were ruined at once.

🚗 3.3 Mass production and consumption — Fordism ★★ ★

Element	Detail
The pioneer	★ HENRY FORD — "He adapted the ASSEMBLY LINE of a CHICAGO SLAUGHTERHOUSE (in which slaughtered animals were picked apart by butchers as they came down a conveyor belt) to his new car plant in DETROIT "
★★ What it did to work	"The assembly line FORCED WORKERS TO REPEAT A SINGLE TASK MECHANICALLY AND CONTINUOUSLY — such as fitting a particular part — AT A PACE DICTATED BY THE CONVEYOR BELT . This was a way of INCREASING THE OUTPUT PER WORKER BY SPEEDING UP THE PACE OF WORK . ★ Standing in front of a conveyor belt NO WORKER COULD AFFORD TO DELAY THE MOTIONS, TAKE A BREAK, OR EVEN HAVE A FRIENDLY WORD WITH A WORKMATE "
★ The speed	"Ford's cars came off the assembly line at THREE-MINUTE INTERVALS "; the ★ T-Model Ford was the world's first mass-produced car
★★★ The \$5 day	*"At first workers were unable to cope with the stress... so they QUIT IN LARGE NUMBERS . In desperation Ford DOUBLED THE DAILY WAGE TO \$5 IN JANUARY 1914 . At the same time HE BANNED TRADE UNIONS from operating in his plants."*
★★★ And how he recovered it	*"Henry Ford recovered the high wage BY REPEATEDLY SPEEDING UP THE PRODUCTION LINE and FORCING WORKERS TO WORK EVER HARDER . So much so, he would soon describe his decision to double the daily wage as the ' BEST COST-CUTTING DECISION ' he had ever made."*

🎯 ★★ ★★ ★ The \$5 day is usually told as a story of enlightened capitalism. NCERT tells it accurately, and the accurate version is far more interesting. The wage rise was **forced on Ford by turnover**, paired with a **ban on unions**, and **recovered by speeding up the line**. ★ Ford himself called it a **cost-cutting decision**. Higher pay bought **more intense work and no collective voice** — a bargain, not a gift.

The consumer boom:

- ★ ★ "Mass production **lowered costs and prices** of engineered goods. Thanks to **higher wages, more workers could now afford to purchase durable consumer goods** such as cars. ★★ **Car production in the US rose from 2 MILLION in 1919 to more than 5 MILLION in 1929**."*
- ★★ "there was a spurt in the purchase of **refrigerators, washing machines, radios, gramophone players**, all through a system of ★ **'HIRE PURCHASE'** (i.e., on **CREDIT repaid in weekly or monthly instalments**). The demand... was also fuelled by a **BOOM IN HOUSE CONSTRUCTION and HOME OWNERSHIP, FINANCED ONCE AGAIN BY LOANS**."*
- ★★ "The housing and consumer boom of the 1920s created the basis of prosperity in the US. **Large investments in housing and household goods seemed to create A CYCLE of higher employment and incomes, rising consumption demand, more investment, and yet more employment and incomes**."*
- ★ "In 1923, the US resumed **EXPORTING CAPITAL** to the rest of the world and became **THE LARGEST OVERSEAS LENDER**."*
- ⚠️ "All this, however, proved **TOO GOOD TO LAST**. By 1929 the world would be plunged into a depression such as it had never experienced before."*

🎯 ★★ ★★ Notice what the 1920s boom was actually built on: **CREDIT**. Cars, refrigerators and houses were bought on **hire purchase and loans**, and the whole "cycle" depended on incomes continuing to rise. A **prosperity financed by debt is a prosperity that reverses when incomes stop rising** — which is exactly §3.4.

★ 3.4 The Great Depression — ★★☆☆ NCERT asks for the causes directly

*"began around **1929** and lasted till the **mid-1930s**. During this period most parts of the world experienced **catastrophic declines in PRODUCTION, EMPLOYMENT, INCOMES AND TRADE.**"* ★★ *"in general, **AGRICULTURAL REGIONS AND COMMUNITIES WERE THE WORST AFFECTED. This was because the FALL IN AGRICULTURAL PRICES WAS GREATER AND MORE PROLONGED than that in the prices of INDUSTRIAL GOODS.**"*

THE CAUSES -- three, and give all three

FIRST -- AGRICULTURAL OVERPRODUCTION

"made worse by FALLING AGRICULTURAL PRICES. As prices slumped and agricultural incomes declined, FARMERS TRIED TO EXPAND PRODUCTION and bring a LARGER VOLUME to the market TO MAINTAIN THEIR OVERALL INCOME. THIS WORSENER THE GLUT, PUSHING DOWN PRICES EVEN FURTHER. Farm produce ROTTED FOR A LACK OF BUYERS."

SECOND -- THE WITHDRAWAL OF US LOANS

"in the mid-1920s, MANY COUNTRIES FINANCED THEIR INVESTMENTS THROUGH LOANS FROM THE US. While it was often extremely easy to raise loans when the going was good, US OVERSEAS LENDERS PANICKED AT THE FIRST SIGN OF TROUBLE."

"In the FIRST HALF OF 1928, US overseas loans amounted to OVER \$1 BILLION. A YEAR LATER IT WAS ONE QUARTER OF THAT AMOUNT."

-> in EUROPE: "the FAILURE OF SOME MAJOR BANKS and the COLLAPSE OF CURRENCIES such as the BRITISH POUND STERLING"

-> in LATIN AMERICA and elsewhere: "it INTENSIFIED THE SLUMP in agricultural and raw material prices"

THIRD -- PROTECTIONISM

"The US attempt to PROTECT ITS ECONOMY in the depression by DOUBLING IMPORT DUTIES also dealt ANOTHER SEVERE BLOW TO WORLD TRADE."

And in the US itself — the spiral:

*"US banks had also **slashed domestic lending and called back loans. Farms could not sell their harvests, households were ruined, and businesses collapsed.** Faced with falling incomes, **many households could not repay what they had borrowed, and were FORCED TO GIVE UP THEIR HOMES, CARS AND OTHER CONSUMER DURABLES.** ★ The consumerist prosperity of the **1920s now disappeared in a puff of dust.** As unemployment soared, **people trudged long distances looking for any work they could find.** Ultimately, **the US BANKING SYSTEM ITSELF COLLAPSED...** ★★ by 1933 over 4,000 BANKS had closed and between 1929 and 1932 about 110,000 COMPANIES had collapsed."*

The human record — Dorothea Lange, on the photograph of a migrant mother, 1936: *"I saw and approached the hungry and desperate mother, AS IF DRAWN BY A MAGNET... I did not ask her name or her history. She told me her age, **that she was THIRTY-TWO.** She said that **she and her SEVEN CHILDREN had been living on FROZEN VEGETABLES from the surrounding fields, and BIRDS THAT THE CHILDREN KILLED...** There she sat... and seemed to know that my pictures might help her, and so SHE HELPED ME."*

★ **"By 1935, a modest economic recovery was under way in most industrial countries. But the Great Depression's WIDER EFFECTS ON SOCIETY, POLITICS AND INTERNATIONAL RELATIONS, AND ON PEOPLES' MINDS, PROVED MORE ENDURING."** * That last sentence points straight at **Class 9 Ch.3**. The Depression is what took the Nazi vote from **2.6% in 1928 to 37% in 1932**. The Depression did not merely impoverish; it changed what politics people would accept.

IN 3.5 India and the Great Depression — ★★★★★ certain exam material

THE FRAMING: "If we look at the impact of the depression on India we realise HOW INTEGRATED THE GLOBAL ECONOMY HAD BECOME by the early twentieth century. THE TREMORS OF A CRISIS IN ONE PART OF THE WORLD WERE QUICKLY RELAYED TO OTHER PARTS."

THE NUMBERS
"India's EXPORTS AND IMPORTS NEARLY HALVED between 1928 and 1934."
"Between 1928 and 1934, WHEAT PRICES IN INDIA FELL BY 50 PER CENT."

WHO SUFFERED -- and the crucial policy failure
"PEASANTS AND FARMERS SUFFERED MORE THAN URBAN DWELLERS. THOUGH AGRICULTURAL PRICES FELL SHARPLY, THE COLONIAL GOVERNMENT REFUSED TO REDUCE REVENUE DEMANDS. PEASANTS PRODUCING FOR THE WORLD MARKET WERE THE WORST HIT."

THE JUTE CASE
"the JUTE PRODUCERS OF BENGAL... grew raw jute processed in factories for export as GUNNY BAGS. But as gunny exports collapsed, THE PRICE OF RAW JUTE CRASHED MORE THAN 60 PER CENT. Peasants who BORROWED in the hope of better times or to INCREASE OUTPUT in the hope of higher incomes faced EVER LOWER PRICES, and fell DEEPER AND DEEPER INTO DEBT."

The jute growers' lament — quote it, it is short and devastating: **"grow more jute, brothers, with the hope of greater cash. Costs and debts of jute will make your hopes get dashed. When you have spent all your money and got the crop off the ground, ... traders, sitting at home, will pay only Rs 5 a maund."** * NCERT asks who profits according to the lament, and the answer is in the phrase **"sitting at home"** — the trader bears no cost, takes no risk, does no work, and sets the price. The cultivator does everything and is a price-taker. **That asymmetry, not merely the low price, is the grievance.**

★★★★ The gold export — and Keynes:

"Across India, peasants' indebtedness increased. They used up their savings, MORTGAGED LANDS, and SOLD WHATEVER JEWELLERY AND PRECIOUS METALS they had to meet their expenses. In these depression years, INDIA BECAME AN EXPORTER OF PRECIOUS METALS, NOTABLY GOLD. The famous economist **JOHN MAYNARD KEYNES** thought that **Indian gold exports PROMOTED GLOBAL ECONOMIC RECOVERY.** ★★ They certainly helped speed up **BRITAIN'S recovery, BUT DID LITTLE FOR THE INDIAN PEASANT.**"*

★★★★★ **This is one of the most quotable facts in the whole book.** The gold that Britain used to climb out of the Depression came off the necks and wrists of Indian peasant women selling their jewellery to pay a revenue demand the government refused to reduce. ★ **Keynes was right that it aided global recovery — and the distribution of that recovery is the entire point.**

★★★★ And the political consequence, which is your bridge to Chapter 2:

"Rural India was thus SEETHING WITH UNREST when Mahatma Gandhi launched the civil disobedience movement AT THE HEIGHT OF THE DEPRESSION in 1931."

But not everyone lost:

"The depression proved LESS GRIM FOR URBAN INDIA. Because of falling prices, those with FIXED INCOMES — say town-dwelling landowners who received rents and MIDDLE-CLASS SALARIED EMPLOYEES — now found themselves BETTER OFF. Everything cost less. ★ Industrial investment also GREW as the government extended TARIFF PROTECTION to industries, UNDER THE PRESSURE OF NATIONALIST OPINION."

🔗 ★ ★ ★ ★ Hold this against Ch.2 §3.2 and the two chapters lock together. The Depression explains **exactly** why the Patidars and Jats — "*producers of commercial crops... very hard hit by the trade depression and falling prices*" — became the backbone of Civil Disobedience, and why they **refused to rejoin in 1932 when revenue rates were not revised**. It also explains why **business classes** funded the movement: **tariff protection, won under nationalist pressure, was profitable**. ★ **Economics is the missing half of most students' answers on Civil Disobedience.**

4 Rebuilding a World Economy

🌐 The Second World War

Fact	Detail
The sides	Axis — mainly Nazi Germany, Japan and Italy ; Allies — Britain, France, the Soviet Union and the US
★ ★ The toll	"At least 60 MILLION people , or about 3 PER CENT of the world's 1939 population, are believed to have been killed"
★ ★ ★ What was new	*"Unlike in earlier wars, MOST OF THESE DEATHS TOOK PLACE OUTSIDE THE BATTLEFIELDS. MANY MORE CIVILIANS THAN SOLDIERS died from war-related causes."* Vast parts of Europe and Asia devastated, cities destroyed by aerial bombardment
★ ★ ★ The two shaping influences	(1) " <i>the US's emergence as the DOMINANT ECONOMIC, POLITICAL AND MILITARY POWER in the Western world</i> "; (2) " <i>the dominance of the SOVIET UNION. It had made huge sacrifices to defeat Nazi Germany, and had transformed itself from a BACKWARD AGRICULTURAL COUNTRY into a WORLD POWER during the very years when the capitalist world was trapped in the Great Depression</i> "

🔗 ★ ★ ★ ★ That last clause is a direct callback to Class 9 Ch.2. The USSR industrialised **through the Five Year Plans while the West was in Depression** — and that contrast, more than any argument, is what gave planning its enormous prestige in the newly independent world. **It is why India's Republic began with a Planning Commission.**

🏠 4.1 Bretton Woods — ★★☆☆ pure GS3, and NCERT asks for the two lessons

THE TWO LESSONS OF THE INTER-WAR YEARS

LESSON 1 -- ON THE DOMESTIC ECONOMY

"an INDUSTRIAL SOCIETY BASED ON MASS PRODUCTION CANNOT BE SUSTAINED WITHOUT MASS CONSUMPTION.

But to ensure mass consumption -> need HIGH AND STABLE INCOMES

Incomes could not be stable if EMPLOYMENT was unstable

Thus stable incomes also required STEADY, FULL EMPLOYMENT

BUT MARKETS ALONE COULD NOT GUARANTEE FULL EMPLOYMENT.

THEREFORE GOVERNMENTS WOULD HAVE TO STEP IN to minimise fluctuations of PRICE, OUTPUT and EMPLOYMENT.

ECONOMIC STABILITY COULD BE ENSURED ONLY THROUGH THE INTERVENTION OF THE GOVERNMENT."

LESSON 2 -- ON EXTERNAL LINKS

"The goal of FULL EMPLOYMENT could only be achieved IF GOVERNMENTS HAD POWER TO CONTROL FLOWS OF GOODS, CAPITAL AND LABOUR."

THE AIM: "to PRESERVE ECONOMIC STABILITY AND FULL EMPLOYMENT IN THE INDUSTRIAL WORLD."

Element	Detail
★★★ The conference	"agreed upon at the UNITED NATIONS MONETARY AND FINANCIAL CONFERENCE held in JULY 1944 at BRETTON WOODS in NEW HAMPSHIRE, USA "
★★★ The IMF	International Monetary Fund — "to deal with EXTERNAL SURPLUSES AND DEFICITS of its member nations"
★★★ The World Bank	International Bank for Reconstruction and Development — "set up to FINANCE POST-WAR RECONSTRUCTION "
★ Together	"the Bretton Woods institutions or sometimes the BRETTON WOODS TWINS "; the system, the Bretton Woods system
★ Operations began	1947
★★★ Who controls them	*"Decision-making in these institutions is CONTROLLED BY THE WESTERN INDUSTRIAL POWERS . THE US HAS AN EFFECTIVE RIGHT OF VETO over key IMF and World Bank decisions."*
★★★ The monetary system	*"based on FIXED EXCHANGE RATES . National currencies, for example the Indian rupee , were PEGGED TO THE DOLLAR at a fixed exchange rate. The dollar itself was ANCHORED TO GOLD at a fixed price of \$35 PER OUNCE ."*

Words: ★ Tariff — tax imposed on a country's imports, levied at the point of entry. ★★ Fixed exchange rates — when rates are fixed and governments intervene to prevent movements in them. ★★ Flexible/floating exchange rates — rates that fluctuate on demand and supply in foreign exchange markets, in principle without government interference.

📊 4.2 The early post-war years — the golden age

Indicator	Figure
★★ World trade growth, 1950–1970	"grew annually at over 8 PER CENT "
★★ Income growth	"at nearly 5 PER CENT "
★★ Unemployment	"averaged LESS THAN 5 PER CENT in most industrial countries"
And	"The growth was also mostly STABLE, WITHOUT LARGE FLUCTUATIONS "

Box 4 — MNCs. ***"Multinational corporations (MNCs) are large companies that operate in several countries at the same time. The first MNCs were established in the 1920s. Many more came up in the 1950s and 1960s... ★ This was PARTLY BECAUSE HIGH IMPORT TARIFFS imposed by different governments FORCED MNCs TO LOCATE THEIR MANUFACTURING OPERATIONS AND BECOME 'DOMESTIC PRODUCERS' in as many countries as possible."*** 🌀

Note the irony: protectionism CREATED the multinational. Tariffs meant to keep foreign goods out simply brought foreign **factories** in. **A policy designed to limit foreign economic presence deepened it.**

🌍 4.3 Decolonisation and the G-77 — ★★★★★ the IR payoff

"When the Second World War ended, LARGE PARTS OF THE WORLD WERE STILL UNDER EUROPEAN COLONIAL RULE. Over the next two decades MOST COLONIES IN ASIA AND AFRICA EMERGED AS FREE, INDEPENDENT NATIONS."

"They were, however, OVERBURDENED BY POVERTY AND A LACK OF RESOURCES, and their economies and societies were HANDICAPPED BY LONG PERIODS OF COLONIAL RULE."

THE MISMATCH

"THE IMF AND THE WORLD BANK WERE DESIGNED TO MEET THE FINANCIAL NEEDS OF THE INDUSTRIAL COUNTRIES. THEY WERE NOT EQUIPPED TO COPE WITH THE CHALLENGE OF POVERTY AND LACK OF DEVELOPMENT IN THE FORMER COLONIES."

"But as Europe and Japan rapidly rebuilt, they GREW LESS DEPENDENT on the IMF and World Bank. Thus FROM THE LATE 1950s the Bretton Woods institutions began to SHIFT THEIR ATTENTION MORE TOWARDS DEVELOPING COUNTRIES."

THE IRONY NCERT NAMES OUTRIGHT

"As colonies, many of the less developed regions had been part of Western empires. NOW, IRONICALLY, as newly independent countries facing urgent pressures to lift their populations out of poverty, THEY CAME UNDER THE GUIDANCE OF INTERNATIONAL AGENCIES DOMINATED BY THE FORMER COLONIAL POWERS."

"Even after many years of decolonisation, THE FORMER COLONIAL POWERS STILL CONTROLLED VITAL RESOURCES SUCH AS MINERALS AND LAND in many of their former colonies. LARGE CORPORATIONS of other powerful countries, for example the US, also often managed to SECURE RIGHTS TO EXPLOIT DEVELOPING COUNTRIES' NATURAL RESOURCES VERY CHEAPLY."

THE RESPONSE

"most developing countries DID NOT BENEFIT from the fast growth the Western economies experienced in the 1950s and 1960s. Therefore they organised themselves as a group --

THE GROUP OF 77 (or G-77) -- to demand a NEW INTERNATIONAL ECONOMIC ORDER (NIEO)."

BY THE NIEO THEY MEANT A SYSTEM THAT WOULD GIVE THEM:

- "REAL CONTROL OVER THEIR NATURAL RESOURCES"
- "MORE DEVELOPMENT ASSISTANCE"
- "FAIRER PRICES FOR RAW MATERIALS"
- "BETTER ACCESS FOR THEIR MANUFACTURED GOODS IN DEVELOPED COUNTRIES' MARKETS"

🎯 ★★★★★ NCERT's own question is "in what ways can the G-77 be seen as a REACTION to the activities of the Bretton Woods twins?" — and the answer is structural, not merely political. The twins were **designed for industrial countries**, are **controlled by Western powers with a US veto**, and turned to the developing world **only when Europe and Japan no longer needed them**. So newly independent states found their economic policy **supervised by institutions run by their former rulers**. ★ **The G-77 was a demand for a different rule-set, not merely more money** — control over resources, fair commodity prices, and market access. **Each of the four NIEO demands is a complaint about a specific feature of the post-war order**. 📌 For GS2 this is the intellectual origin of everything from the Non-Aligned Movement's economic agenda to today's Global South arguments at the WTO and on climate finance.

🌐 4.4 The end of Bretton Woods and "globalisation" ★★★★★

THE UNRAVELLING

"From the 1960s the RISING COSTS OF ITS OVERSEAS INVOLVEMENTS WEAKENED THE US'S FINANCES AND COMPETITIVE STRENGTH. The US dollar NO LONGER COMMANDED CONFIDENCE as the world's principal currency. IT COULD NOT MAINTAIN ITS VALUE IN RELATION TO GOLD."

"This eventually led to THE COLLAPSE OF THE SYSTEM OF FIXED EXCHANGE RATES and the introduction of a system of FLOATING EXCHANGE RATES."

THE DEBT TRAP OPENS

"From the MID-1970s... Earlier, developing countries could turn to INTERNATIONAL INSTITUTIONS for loans. BUT NOW THEY WERE FORCED TO BORROW FROM WESTERN COMMERCIAL BANKS AND PRIVATE LENDING INSTITUTIONS. This led to PERIODIC DEBT CRISES in the developing world, and LOWER INCOMES AND INCREASED POVERTY, ESPECIALLY IN AFRICA AND LATIN AMERICA."

"The INDUSTRIAL WORLD was also hit by UNEMPLOYMENT that began rising from the MID-1970s and remained high until the EARLY 1990s."

THE RELOCATION

"From the LATE 1970s MNCs began to SHIFT PRODUCTION OPERATIONS TO LOW-WAGE ASIAN COUNTRIES."

"CHINA had been CUT OFF from the post-war world economy SINCE ITS REVOLUTION IN 1949. But NEW ECONOMIC POLICIES IN CHINA and THE COLLAPSE OF THE SOVIET UNION and Soviet-style communism in Eastern Europe BROUGHT MANY COUNTRIES BACK INTO THE FOLD of the world economy."

"Wages were relatively LOW in countries like China. Thus they became ATTRACTIVE DESTINATIONS FOR INVESTMENT by foreign MNCs competing to capture world markets."

"The relocation of industry to low-wage countries STIMULATED WORLD TRADE AND CAPITAL FLOWS. In the last two decades THE WORLD'S ECONOMIC GEOGRAPHY HAS BEEN TRANSFORMED as countries such as INDIA, CHINA and BRAZIL have undergone RAPID ECONOMIC TRANSFORMATION."

🎯 ★★★★★ End the chapter by noticing that it closes where it opened. In the eighteenth century **India and China were among the world's richest countries**; the centre of world trade **moved west**; and in the last two decades it has begun **moving back**. ★ **The chapter's real argument is that the global economy has no permanent centre** — and that every relocation, in the sixteenth century or the twenty-first, produces the same double result: **growth somewhere, dislocation somewhere else**.

● Prelims traps

Trap	The truth
"Globalisation began after 1991"	★ Trade, migration and capital flows are traced from 3000 BCE — Indus valley coastal trade with West Asia ; cowries from the Maldives to China and East Africa
"Silk routes carried silk eastward"	★★★★ West-bound Chinese silk ; also Chinese pottery, and textiles and spices from India and SE Asia ; in return gold and silver flowed from Europe to Asia
"The silk routes were only overland"	★ "several silk routes, over land AND by sea ", existing before the Christian Era and thriving almost till the fifteenth century
"Potatoes and chillies are ancient Indian crops"	★★★★ Introduced to Europe and Asia only after Columbus — from America's original inhabitants
"The Irish famine was in the 1870s"	★★★★ Mid-1840s (1845–49) — about 1,000,000 died, double that emigrated
"Spanish conquest of America succeeded by superior firepower"	★★★★★ "not just a result of superior firepower" — the most powerful weapon was smallpox ; "guns could be bought or captured... but not diseases"
"Europe was always the centre of world trade"	★★★★★ India and China were among the world's richest countries well into the eighteenth century ; China's withdrawal from the fifteenth century plus American resources moved the centre westward
"The three flows are trade, technology and capital"	★★★★★ TRADE, LABOUR and CAPITAL. ★ Note that labour migration was more restricted than goods or capital
"The Corn Laws restricted the export of corn"	★★★★ They restricted IMPORT of corn , under pressure from landed groups ; abolished under pressure from industrialists and urban dwellers
"Abolishing the Corn Laws helped British farmers"	★★★★ The opposite — British agriculture could not compete, land was left uncultivated and thousands were thrown out of work
"About 5 million Europeans emigrated in the 19th century"	★★★★ Nearly 50 million to America and Australia ; some 150 million worldwide left their homes
"World trade grew 5–10 times between 1820 and 1914"	★★★★ 25 to 40 times ; nearly 60% was primary products
"Refrigerated ships carried live animals"	★★★★ They allowed animals to be slaughtered at the starting point and shipped as frozen meat
"Africa was carved up at Berlin in 1875"	★★★★ 1885
"Rinderpest was a human disease"	★★★★★ A cattle plague , arriving late 1880s via cattle imported from British Asia to feed Italian soldiers invading Eritrea ; reached the Atlantic coast in 1892 , the Cape five years later , and killed ★ 90% of the cattle
"Indentured labourers were free wage workers"	★★★★★ Bonded labourers under contract , promised return travel after five years ; described as ★ "a new system of slavery"
"Indentured labour was abolished in 1911"	★★★★ 1921 , after nationalist opposition from the 1900s
"Most indentured migrants came from Punjab"	★★★★ Eastern UP, Bihar, central India and the dry districts of Tamil Nadu ; destinations Trinidad, Guyana, Surinam, Mauritius, Fiji , plus Ceylon and Malaya for Tamils
"Hosay is an African festival"	★ In Trinidad , the Muharram procession transformed into a carnival for Imam Hussain , joined by workers of all races and religions
"India's cotton textile exports rose in the nineteenth century"	★★★★★ Fell from ~30% around 1800 → 15% by 1815 → below 3% by the 1870s , while raw cotton rose from 5% (1812) to 35% (1871)

Trap	The truth
"Britain had a trade deficit with India"	★ ★ ★ A trade SURPLUS , used to settle Britain's deficits with third countries — the multilateral settlement system — and to pay the home charges
"Home charges were India's defence expenditure"	★ ★ Private remittances by British officials and traders, interest on India's external debt, and pensions of British officials
"The First World War killed 20 million and injured 9 million"	★ ★ 9 million dead, 20 million injured
"The war made the US an international debtor"	★ ★ ★ A CREDITOR — at the war's end the US owned more overseas assets than foreigners owned in the US
"In 1921, one in ten British workers was unemployed"	★ One in five
"Ford raised wages out of generosity"	★ ★ ★ Workers quit in large numbers ; he doubled pay to \$5 in January 1914 , banned trade unions , recovered the cost by speeding up the line , and called it his "best cost-cutting decision"
"US car production rose from 2 to 5 million between 1929 and 1939"	★ ★ 1919 – 1929
"The Depression's causes were purely financial"	★ ★ ★ Three : agricultural overproduction and falling prices; the withdrawal of US loans (over \$1bn in the first half of 1928, one quarter of that a year later); and the US doubling import duties
"By 1933, 400 US banks had closed"	★ ★ Over 4,000 banks ; and about 110,000 companies collapsed between 1929 and 1932
"Indian wheat prices fell 20% in the Depression"	★ ★ 50% between 1928 and 1934; exports and imports nearly halved; raw jute crashed more than 60%
"The colonial government cut revenue during the Depression"	★ ★ ★ It refused to reduce revenue demands — which is why " <i>rural India was seething with unrest</i> " when Civil Disobedience was launched
"Bretton Woods was in 1945 in Washington"	★ ★ ★ July 1944, Bretton Woods, New Hampshire ; the IMF and World Bank began operations in 1947
"The dollar was pegged to gold at \$35 per gram"	★ ★ \$35 per OUNCE ; national currencies were pegged to the dollar
"World trade grew about 3% a year in 1950–70"	★ ★ Over 8% a year , incomes at nearly 5% , unemployment under 5%
"The G-77 demanded aid alone"	★ ★ ★ The NIEO: real control over natural resources, more development assistance, fairer prices for raw materials, and better market access for their manufactures
"MNCs first appeared in the 1950s"	★ The first MNCs were established in the 1920s ; the spread in the 1950s–60s was driven partly by high import tariffs

● Mains angles

- ★ ★ ★ ★ "Explain the **THREE** types of flows within international economic exchange, with **one Indian example of each.**" (NCERT's own question.) **Trade** (raw cotton, opium out; British cloth in); **labour** (indentured migration to Trinidad, Guyana, Mauritius, Fiji); **capital** (Shroffs and Chettiars financing export agriculture). ★ **End on the asymmetry: labour was more restricted than goods or capital.**
- ★ ★ ★ ★ "Explain the causes of the Great Depression." — The three causes, plus the **fragility of the post-war economy**, plus the transmission mechanism to Europe (bank failures, sterling's collapse) and to primary producers (slumping commodity prices).
- ★ ★ ★ ★ "Write a note on the effects of: the abolition of the Corn Laws; the coming of rinderpest to Africa; the death of working-age men in Europe; the Great Depression on the

Indian economy; MNCs relocating to Asia. (NCERT's own five-part question — each has a self-contained causal chain above.)

- ★★★★★ **"Explain how the global transfer of disease in the pre-modern world helped in the colonisation of the Americas."** — No immunity after long isolation; smallpox spreading **ahead of the Europeans themselves**; *"guns could be bought or captured... but not diseases"*; and **Winthrop's theology of a cleared title**.
- ★★★★★ **"India's role in the nineteenth-century world economy."** — De-industrialisation by tariff (30% → under 3%), conversion to a raw-material exporter (5% → 35%), the **opium trade**, and above all the **multilateral settlement system** and the **home charges**. ★ **This is the strongest available "drain of wealth" answer because every element is NCERT's own.**
- ★★★★★ **"What is meant by the Bretton Woods Agreement?"/"The G-77 as a reaction to the Bretton Woods twins."** — The **two lessons**, the **twins**, **fixed rates pegged to a gold-anchored dollar**, the **US veto**, the mismatch with post-colonial needs, and the **four NIEO demands**.
- ★★★★★ **Essay/GS3: "Globalisation has always produced winners and losers."** — Use the chapter's own spine: the **potato** (better nutrition and a million dead), **refrigerated ships** (cheaper meat and imperial consent), **indenture** (growth and *"a new system of slavery"*), **rinderpest** (a manufactured labour market), **Indian gold exports** (British recovery, no help to the peasant), **MNC relocation** (world trade up, industrial-world unemployment up).
- ★★★★★ **GS3: technology and food security.** — NCERT's own question asks for **two examples of technology's impact on food availability**: **refrigerated ships**, and **railways/harbours** opening new agricultural frontiers; the **canal colonies of west Punjab** are the Indian instance.
- ★★★★★ **Link to Ch.2: "The Depression made Civil Disobedience possible."** — Prices halved, revenue demands unchanged, jute down 60%, peasants selling gold — *"rural India was seething with unrest"*; the **Patidars and Jats**; **tariff protection** won under nationalist pressure explains the **business classes'** support.

Cross-links to build now

- ★★★★★ **Class 9 supplement (*Peasants and Farmers*)** — **Corn Laws, enclosures, the US wheat glut, and the opium–tea–silver triangle** are the same history from the other end. **Read the two chapters back to back.**
 - ★★★★★ **Ch.4 of this book** — why Indian weavers collapsed; proto-industrialisation.
 - ★★★★★ **Ch.2 of this book** — the Depression as the economic engine of Civil Disobedience.
 - ★★★★★ **Class 9 Ch.2** — the USSR industrialising through the Depression, and why planning gained prestige.
 - ★★★★★ **Class 9 Ch.3** — the Depression's political consequences in Germany (2.6% → 37%).
 - ★★★★★ **Class 9 Ch.4 & Ch.5** — manufactured labour markets: forest laws, grazing taxes, the Criminal Tribes Act, and rinderpest as the African version.
-

Glossary

Term	Meaning
Cowries	Seashells (Hindi <i>cowdī</i>) used as currency , moving from the Maldives to China and East Africa
Silk routes	Land and sea routes linking Asia with Europe and northern Africa, before the Christian Era to the fifteenth century
El Dorado	The fabled city of gold in South America
Dissenter	One who refuses to accept established beliefs and practices
The three flows	Trade (goods) · Labour (migration for work) · Capital (investment)
Corn Laws	Laws restricting the import of corn into Britain, scrapped under pressure from industrialists and urban dwellers
Canal Colonies	Areas of west Punjab irrigated by new canals and settled to grow wheat and cotton for export
Rinderpest	The cattle plague that killed 90% of Africa's cattle in the 1890s
Indentured labour	A bonded labourer under contract for a fixed term, to pay off his passage
Hosay	The Trinidad carnival grown out of the Muharram procession
Shroffs / Chettiers	Indian bankers financing export agriculture in Central and Southeast Asia
Multilateral settlement	A system allowing one country's deficit with another to be settled by its surplus with a third
Home charges	Remittances, interest on external debt and pensions of British officials, paid out of the Indian surplus
Assembly line / Fordism	Production paced by a conveyor belt , raising output per worker
Hire purchase	Buying on credit repaid in weekly or monthly instalments
Bretton Woods	The July 1944 conference in New Hampshire that created the IMF and World Bank
Fixed exchange rate	Rates fixed , with governments intervening to prevent movement
Floating exchange rate	Rates fluctuating on demand and supply , in principle without government interference
Tariff	Tax on imports, levied at the point of entry
MNC	A large company operating in several countries at the same time
G-77 / NIEO	The developing-country group, and its demand for a New International Economic Order

60-Second Recap

- ★ **Globalisation has a long history** — Indus valley coastal trade with **West Asia by 3000 BCE**; **cowries** from the **Maldives** to China and East Africa; disease spreading from the **seventh century**.
- ★★ **Silk routes**, land and sea, from **before the Christian Era to the fifteenth century**: **west-bound Chinese silk and pottery**, **Indian and SE Asian textiles and spices**; **gold and silver flowing from Europe to Asia**; and with them **Christian missionaries, Muslim preachers and Buddhism**.
- ★★ **Food travelled**: **noodles → spaghetti**; **potatoes, soya, groundnuts, maize, tomatoes, chillies** unknown until **Columbus**. **Europe's poor ate better with the potato** — and **Ireland's dependence killed a million in 1845–49**, with double that number emigrating.
- ★★★ **Conquest by disease**: *"European conquest was not just a result of superior firepower" — smallpox spread ahead of the Europeans, and "guns could be bought or captured... but not diseases."* **Winthorp (1634): "the Lord hath cleared our title to what we possess."**

5. ★★ Europe was not always the centre: India and China were among the world's richest countries well into the eighteenth century; China's withdrawal from the fifteenth century plus American silver moved the centre of world trade westwards.
6. ★★★ Three flows — trade, labour, capital — "closely interwoven", but ★ labour migration was more restricted than goods or capital.
7. ★★★ The Corn Laws restricted imports at the landed groups' behest; industrialists and urban dwellers forced their abolition; then British agriculture could not compete, land went uncultivated, workers were thrown out and migrated; food, incomes and imports rose; and lands were cleared in Eastern Europe, Russia, America and Australia to feed Britain — requiring railways, harbours, settlement, capital from London and labour from abroad.
8. ★★ Nearly 50 million Europeans went to America and Australia; some 150 million worldwide left home. ★ World trade multiplied 25–40 times between 1820 and 1914, 60% primary products. In India, the Canal Colonies of west Punjab grew wheat and cotton for export.
9. ★★ Technology followed economics: refrigerated ships let animals be slaughtered in America, Australia or New Zealand and shipped frozen, cutting costs and putting meat, butter and eggs on poor European tables — and ★ "better living conditions promoted social peace within the country and support for imperialism abroad."
10. ★★ Africa was carved up at BERLIN in 1885, borders drawn as if by ruler; Belgium and Germany became new colonial powers, the US one in the late 1890s; and exploration was "directly linked to imperial projects."
11. ★★★ Rinderpest: Africans "rarely worked for a wage" because they had land and cattle, so employers used heavy taxes payable only in wages, inheritance laws disinheriting all but one child, and compounds. Then the plague, carried by cattle imported from British Asia to feed Italian soldiers invading Eritrea, killed 90% of the cattle, and colonisers monopolised what remained to force Africans into the labour market.
12. ★★★ Indenture — "a new system of slavery" — from eastern UP, Bihar, central India and dry Tamil Nadu, where cottage industries declined, rents rose and land was cleared; to Trinidad, Guyana, Surinam, Mauritius, Fiji, Ceylon, Malaya and Assam; recruited by commission agents using false information and sometimes abduction; five-year contracts with few legal rights — and jail for failing to complete a task. ★ Abolished 1921. Yet workers made Hosay, Rastafarianism and chutney music — "things from different places get mixed... and become something entirely new."
13. ★★ Indians financed the world too: Shikaripuri Shroffs and Nattukottai Chettiars funded export agriculture with indigenous corporate forms; Hyderabad Sindhis built emporia at ports worldwide from the 1860s.
14. ★★★ De-industrialisation by tariff: Indian cotton textiles fell from ~30% of exports around 1800 → 15% by 1815 → below 3% by the 1870s, while raw cotton rose from 5% (1812) to 35% (1871); indigo and then opium — "for a while India's single largest export".
15. ★★★ The multilateral settlement system: Britain's trade surplus with India settled its deficits with third countries, so "by helping Britain balance its deficits, India played a crucial role in the late-nineteenth-century world economy" — and the surplus also paid the home charges: remittances, interest on India's external debt, and British officials' pensions.
16. ★★ The First World War was "the first modern industrial war" — 9 million dead, 20 million injured, mostly men of working age; women took men's jobs; and ★ the war turned the US from international debtor to creditor.
17. ★ Post-war Britain faced Indian and Japanese competition, huge US debts, and the end of the war boom — one in five British workers unemployed in 1921; and the wheat glut as Eastern Europe revived ruined farmers everywhere.

18. ★★ **Fordism:** the **Chicago slaughterhouse assembly line** moved to **Detroit**; cars every **three minutes**; the **T-Model**; workers quit, so Ford **doubled pay to \$5 in January 1914**, **banned unions**, **sped up the line**, and called it his "**best cost-cutting decision.**" **US car production rose from 2 million (1919) to over 5 million (1929)**, alongside a **hire-purchase and housing boom**; from **1923 the US became the largest overseas lender.**
19. ★★★ **The Great Depression** (1929 → mid-1930s) hit **agriculture worst**. Causes: **overproduction with farmers expanding output as prices fell**; the **collapse of US overseas lending** (over \$1 billion in the first half of 1928 → **a quarter** of that a year later); and the **US doubling import duties**. **Over 4,000 US banks closed by 1933**; **about 110,000 companies collapsed 1929–32.**
20. ★★★ **In India:** exports and imports nearly halved (1928–34); wheat prices fell 50%; raw jute crashed over 60%; ★ the colonial government refused to reduce revenue demands; peasants mortgaged land and sold jewellery, making **India a gold exporter** — which Keynes thought aided world recovery and which "*certainly helped speed up Britain's recovery, but did little for the Indian peasant.*" ★★ "*Rural India was thus seething with unrest when Mahatma Gandhi launched the civil disobedience movement.*" **Urban India with fixed incomes did better**, and **industry grew behind tariff protection won under nationalist pressure.**
21. ★★ **The Second World War** killed at least **60 million** — **about 3% of the 1939 population** — **most of them civilians, outside the battlefields**. Two influences shaped the peace: **US dominance**, and the **USSR**, which had industrialised **during the very years the capitalist world was in Depression.**
22. ★★★ **Two lessons** → **Bretton Woods:** mass production needs **mass consumption**, which needs **stable incomes**, which needs **full employment**, which **markets alone cannot guarantee** — so **governments must intervene**; and full employment requires **control over flows of goods, capital and labour**. ★ **July 1944, New Hampshire:** the **IMF** (external surpluses and deficits) and the **World Bank** (reconstruction), operating from **1947**, **controlled by Western powers with a US veto**, on **fixed exchange rates** pegged to a dollar anchored to gold at **\$35 an ounce.**
23. ★★ **The golden age:** world trade grew **over 8% a year (1950–70)**, incomes nearly **5%**, unemployment **under 5%**. **MNCs spread partly because high tariffs forced them to produce locally.**
24. ★★★ **Decolonisation's irony:** the twins were **designed for industrial countries** and turned to the developing world only **from the late 1950s**, so new nations came "*under the guidance of international agencies dominated by the former colonial powers*", while those powers **still controlled minerals and land**. Hence the **G-77** and the **NIEO** — **control over resources, more assistance, fairer commodity prices, market access.**
25. ★★ **The end:** rising overseas costs weakened the dollar, which **could not hold its value against gold**, ending **fixed exchange rates**; from the **mid-1970s** developing countries had to borrow from **commercial banks**, producing **debt crises in Africa and Latin America**; **MNCs relocated to low-wage Asia from the late 1970s**; and with **China's new policies and the Soviet collapse**, the world's economic geography shifted again — **India, China and Brazil transforming rapidly.**

Test Yourself

Prelims style

1. Along the silk routes, precious metals flowed — ***from Europe to Asia, while silk, pottery, textiles and spices moved west.***
2. The most powerful weapon of the Spanish conquerors of America was — ***germs, particularly smallpox; "guns could be bought or captured and turned against the invaders. But not diseases."***

3. The Corn Laws — **restricted the IMPORT of corn into Britain**, were imposed under pressure from **landed groups**, and were abolished under pressure from **industrialists and urban dwellers**.
4. Rinderpest reached Africa's Atlantic coast in — **1892**, carried by **cattle imported from British Asia to feed Italian soldiers invading Eritrea**, and killing **90% of the cattle**.
5. Consider: (i) Indian cotton textiles fell below 3% of exports by the 1870s. (ii) Raw cotton exports rose from 5% to 35% between 1812 and 1871. (iii) Britain had a trade deficit with India. — **(i) and (ii) only**. Britain had a **surplus**, used in the **multilateral settlement system**.
6. The Bretton Woods conference was held in — **July 1944 at Bretton Woods, New Hampshire**; the **IMF and World Bank** began operations in **1947**, on **fixed exchange rates** with the dollar anchored at **\$35 per ounce of gold**.
7. Between 1928 and 1934, Indian wheat prices — **fell by 50 per cent**, while **exports and imports nearly halved and raw jute crashed more than 60 per cent**.
8. The NIEO demanded — **real control over natural resources, more development assistance, fairer prices for raw materials, and better market access for manufactured goods**.

Mains style

9. Explain the three types of movements or flows within international economic exchange, with one Indian example of each. **(250 words)** ★
10. Explain the causes of the Great Depression. **(250 words)** ★
11. Write a note explaining the effects of: (a) the abolition of the Corn Laws (b) the coming of rinderpest to Africa (c) the Great Depression on the Indian economy. **(250 words)** ★
12. Explain how the global transfer of disease in the pre-modern world helped in the colonisation of the Americas. **(150 words)**
13. Assess India's role in the late-nineteenth-century world economy. **(250 words)** ★
14. What is meant by the Bretton Woods Agreement? In what ways can the G-77 be seen as a reaction to the activities of the Bretton Woods twins? **(250 words)** ★
15. "A world of faster economic growth as well as great misery." Discuss the two-sided nature of nineteenth-century globalisation. **(250 words)** ★ — Essay crossover

Self-check (out loud, no notes):

- Name the three flows and give an Indian example of each, plus the asymmetry between them.
- Explain the Corn Laws chain from abolition to migration.
- Explain rinderpest — the three labour-recruitment methods, the route of the disease, and how it was exploited.
- Give the four figures of Indian de-industrialisation.
- Explain the multilateral settlement system and name the home charges.
- Give the three causes of the Depression with figures.
- Give five specific effects of the Depression on India.
- State the two inter-war lessons and what Bretton Woods built from them.
- List the four NIEO demands.